

ZIMBABWE'S TAX INCENTIVES

THE INVESTOR'S GUIDE



A SNAPSHOT OF THE KEY INVESTMENT INCENTIVES

Updated April 2025

1.0 GENERAL TAX REGIME



- 1.1.1 Income tax in Zimbabwe is source based and levied under the Income Tax Act. However, rates of tax and deductions are fixed through the Finance Act, which may be amended through the National Budget process.
- 1.1.2 Taxable income is calculated as income less exempt income and any allowable deductions which include assessed losses brought forward from prior years of assessment.
- 1.1.3 In the case of mining, operators have the opportunity to accelerate depreciation of specified capital assets, in addition to indefinite carry-over of losses.

- 1.1.4 The taxable income of non-resident companies is taxed in the same manner as that for resident companies.
- 1.1.5 Thus, both resident and non-resident companies are subject to statutory withholding taxes at source.
- 1.1.6 The general tax regime is currently benchmarked to regional and international best practices, cognisant of the need to promote competitiveness and investment in the productive sectors of the economy. Tax incentives are a notable feature of the tax system.
- 1.1.7 The tax incentives are both general and sector specific in nature, that is, while they apply to all economic agents across all sectors some are exclusively targeted.
- 1.1.8 Sector specific incentives are targeted at agriculture, energy, health, manufacturing, mining, tourism and transport sectors.
- 1.1.9 More, recently, Government availed tax incentives for companies operating in *Special Economic Zones* targeted at export-oriented operators, excluding extractive industries, notably mining and petroleum. The extractive

sector is excluded from SEZ incentives since the output from the sector is predominantly export oriented by default.



Allowable Deductions

- 1.1.10 In general, the deductions allowed include any expenditure incurred for the purposes of trade, or in the production of such income, except to the extent that it is of a capital nature. The general deductions exclude capital expenditure that has a separate framework as outlined in the ensuing paragraphs.
- 1.1.11 Specifically, taxpayers are allowed a deduction equivalent to an amount of any export-market

development expenditure incurred by the taxpayer during the year of assessment, together with an amount equal to 100% of such expenditure.

Allowable Deductions on Capital Expenditure: Special Initial Allowance (SIA)

- 1.1.12 This is a capital allowance on expenditure incurred on construction of new industrial buildings, farm improvements, railway lines, staff housing and tobacco barns. It includes allowances for additions or alterations to existing items as already mentioned. SIA is also allowed on articles, implements, machinery and utensils purchased for purposes of trade.



- 1.1.13 Allowance is optional, and once claimed, this replaces wear and tear (depreciation). SIA is provided at a rate of 25% of cost from the year of such expenditure.

Tax Rates

- 1.1.14 The Table below shows the tax rates applicable in Zimbabwe:

Table 1: General Tax Rates

Tax Type	Tax Rate
Corporate Income Tax	25% ¹
Income earned by a foreign domiciled satellite broadcasting service or electronic commerce platform	5%
Value Added Tax	15%
Withholding Taxes	15% ²
Non-Residents' Tax on Interest	Not Applicable
Customs Duty ³	
Capital Equipment	0%
Raw Materials	0-5%
Intermediate Goods	0-15%

Source: Zimbabwe Treasury

¹Reduced in BOT/BOOT, Special Economic Zones, Industrial Park, Special Mining Lease and Incremental Exports Arrangements

²Reduced through Avoidance of Double Taxation Agreements, Special Economic Zone Incentives and Special Mining Lease Arrangements

³Eliminated or reduced through International Trade Agreements such as SADC, COMESA, AfCFTA

1.1.15 Table 2 below shows the general tax regime:

Table 2: Comparison of General Tax Regime and Tax Incentive Arrangements

Tax Type	Rate of Tax	Special Mining Lease (SML)	Special Economic Zone (SEZ)	Operator on Incremental Exports Regime	BOOT or BOT ⁴ Operator	Industrial Park Developer
Corporate Income Tax	25%	15	0%, 1st 5 years of operations; 15% thereafter		0%, 1st 5 years, 15% for 5 subsequent 5 years & 25% thereafter.	0%, 1st 5 years, 25% thereafter
Capital Allowances	Expensed over 4 years	100% deduction in year 1.	Expensed over 4 years	Expensed over 4 years	Expensed over 4 years	Expensed over 4 years
Assessed Losses	4-year loss carryover	4-year loss carry over	4-year loss carry over	4-year loss carry over	4-year loss carry over	4-year loss carry over
Withholding Taxes	15% ⁵	Exempt	Exempt	15%	15%	15%
Value Added Tax	15%	VAT deferment of up to 3 years ⁶	VAT deferment of up to 2 years	VAT deferment of up to 3 years	15%	15%
VAT on Imported Services ⁷	15%	15%	15%	15%	15%	15%

⁴“Approved BOOT or BOT arrangement” means a contract or other arrangement under which a person undertakes to construct infrastructure for the State in consideration for the right to operate or control it for a specified period, after which period the infrastructure will be transferred to the State.

⁵Withholding Tax rates are significantly reduced through Double Taxation Agreements.

⁶See section on temporary relief from payment of VAT

⁷“imported services” means any supply of services made by a non-resident supplier to a recipient who is a resident of Zimbabwe to the extent that such services are utilised or consumed in Zimbabwe

Tax Type	Rate of Tax	Special Mining Lease (SML)	Special Economic Zone (SEZ)	Operator on Incremental Exports Regime	BOOT or BOT ⁴ Operator	Industrial Park Developer
Customs Duty on Critical Inputs into production	0% or exempt	0% or exempt	0% or exempt	0% or exempt	0% or exempt	0% or exempt

Source: Zimbabwe Treasury

Graduated Corporate Income Tax: Manufacturers Attaining Incremental Exports

- 1.1.16 Exporting companies are subject to lower rates of corporate tax upon attaining the following export thresholds in relation to total production:

**Table 3: Graduated Corporate Income Tax Rates:
Incremental Exports**

Export Threshold (%)	Corporate Tax Rate (%)
30-40	20
41-50	17.5
Above 50	15

Source: Finance Act 3 of 2014

2.0 TEMPORARY RELIEF FROM VALUE ADDED TAX



- 2.1.1 Investors in agriculture, energy, health, manufacturing, mining and transport (aviation) industries have the opportunity to defer payment of Value Added Tax (VAT) on importation of specified capital equipment for a period not exceeding 180 days, subject to a minimum threshold of US\$500 000 per consignment.
- 2.1.2 In addition, investors in manufacturing and mining have the opportunity to defer payment of VAT on projects with long gestation periods up to a maximum of 2 and 3 years, respectively,

subject to approval of such projects by the Minister of Finance, Economic Development and Investment Promotion.

- 2.1.3 The VAT Deferment Periods are summarised as follows:

Table 4: VAT Deferment Periods

Value of Imported Equipment per Consignment	VAT Deferment Period (Days)
Less than US\$500 000	Ineligible/Not Applicable
US\$500 000	90
1 000 001-10 million	120 days
Above 10 million	180 days

Source: Zimbabwe Treasury

- 2.1.4 The VAT Deferment Facility provides cash flow relief to the productive sector, cognisant of huge capital outlays required in importing capital equipment.
- 2.1.5 The Facility is availed to operators who demonstrate compliance to tax legislation, in particular, payment of requisite taxes prior to application for VAT deferment.

3.0 DUTY EXEMPTION ON CAPITAL EQUIPMENT: STRATEGIC DEVELOPMENTAL PROJECTS

- 3.1.1 Where Government has a significant stake in Public Sector Investment Projects or partners with a company operating in Zimbabwe, the following customs duty concessions are availed, cognisant of the need to reduce the cost of investment:



Rebate of Duty on Goods Imported Temporarily for an Approved Project

- 3.1.2 The Rebate is granted on goods that are temporarily imported by specified contractors or other persons for the execution of approved projects of national significance in terms of section 140 of the Customs and Excise (General)

Regulations, 2001, as read with Statutory Instrument 5 of 2021. Goods imported under this Rebate of Duty shall be re-exported after the completion of the Project, otherwise duty foregone shall become payable.

Rebate of Duty on Goods for Incorporation in the Construction of Approved Projects

- 3.1.3 The Rebate is granted on imported equipment or materials that form a permanent feature in the construction of approved Public Sector Investment Projects (PSIP) in terms of section 141 of the Customs and Excise (General) Regulations, 2001, as read with Statutory Instrument 5 of 2021.
- 3.1.4 Projects that qualify for the above concessions are approved by Treasury.
- 3.1.5 Rebate of Duty, in principle, entails exemption from both customs duty and Value Added Tax payable on the importation of goods.

4.0 CUSTOMS DUTY EXEMPTION ON SPECIFIED CAPITAL EQUIPMENT

- 4.1.1 Statutory Instrument 203 of 2022 (the Tariff Handbook) as read with Statutory Instrument 7 of 2023 and other subsequent amendments, provide for a zero percent (0%) customs duty

regime for capital equipment used by the productive sector. This entails that only Value Added Tax is payable, with the option to defer payment of VAT for the specified periods.

5.0 INFRASTRUCTURE PROJECT INCENTIVES



5.1.1 Companies investing in infrastructure development projects can benefit from the following Income Tax Incentives under the Build-Operate and Transfer (BOT) and Build-Own-Operate and Transfer (BOOT) and Arrangements:

- 0% Corporate Income Tax during the first 5 years of operation;

- Corporate Income Tax of 15% during the subsequent five years after the tax holiday;
- A standard corporate income tax rate of 25% thereafter.

5.1.2 Under the BOT and BOOT arrangements, investors in infrastructure projects can, build own, operate the projects until a time when such projects are transferred to the Government. During the BOT and BOOT periods, the investor can profitably recoup the expenditure thereof.

6.0 SECTOR-SPECIFIC TAX INCENTIVES

6.1.1 Pursuant to the need to reduce the cost of investment, the Customs and Excise Regulations provide several sector-specific tax incentives summarised below:



Table 5: Sector-Specific Tax Incentives

Sector	Incentive Type	General Description of Incentive
Manufacturing	Electrical Manufacturers Rebate	The Rebate is granted to Registered Manufacturers on imported components and materials in Completely Knocked Down form for use in the manufacture of approved electrical goods.
	Pharmaceutical Manufacturers' Rebate	The Rebate is granted to a registered manufacturer on materials imported or taken out of bond, for use in the manufacture of approved pharmaceutical products.
	Clothing Manufacturers' Rebate	The Rebate of duty is granted to Approved Clothing manufacturers to facilitate duty-free importation of eligible raw materials and inputs into production.
	Textiles Manufacturers' Rebate	The Rebate of duty is granted to Approved Textiles manufacturers to facilitate duty-free importation of eligible raw materials and inputs into production.
	Furniture Manufacturers' Rebate	The Rebate of duty is granted to Approved Furniture Manufacturers to facilitate duty-free importation of eligible raw materials and inputs into production.
	Luggage Manufacturers' Rebate	The Rebate of duty is granted to Approved Luggage manufacturers to facilitate duty-free importation of eligible raw materials and inputs into production.

Sector	Incentive Type	General Description of Incentive
Agriculture	Value Added Tax	VAT Deferment as discussed in section 2 All agricultural inputs and implements are exempt from Value Added Tax in terms of the VAT Regulations.
	Centre Pivot Manufacturers Rebate	The manufacturer's rebate enables manufacturers of centre pivots to import, duty-free, parts and components used in the manufacture of pivots.
	Rebate of duty on materials used in the preparation and packaging of fresh produce for export	Rebate of duty is granted on materials which are imported for use in the preparation and packaging of fresh produce for export, in terms of the Customs and Excise Regulations.
Tourism Sector	Suspension of Duty on imported capital equipment used by tourism operators	The facility enables the refurbishment, expansion and modernization of hotels, lodges and conference facilities. The incentives are intended at reducing the cost of refurbishments, expansion and modernisation of hotels, lodges and conference facilities.
	Suspension of duty on specified motor vehicles imported by Safari Operators	The facility assists Operators in replenishing the fleet used in tourism activities.
	Suspension of duty on specified buses imported by tour operators	The facility assists registered operators in the tour business to import specified buses duty free.

Sector	Incentive Type	General Description of Incentive
Transport Sector	Aircraft Assembler's Rebate	Rebate of duty is granted to Registered Assemblers for duty free importation of components, parts and materials imported for use in the assembly of aircrafts.
	Suspension of Duty on kits and parts used in the manufacture of Public Service Buses	Registered Bus Assembler's can also benefit from Rebate of duty imported components, parts and materials imported for use in the assembly of buses. Furthermore, manufacturers of buses enjoy Suspension of Duty on kits and parts used in the manufacture of Public Service Buses.
	Suspension of Duty on kits and parts used in the manufacture of motor vehicle	Manufacturers of single and double cab motor vehicles can benefit from duty free importation of semi and completely knocked down kits used in the manufacture of motor vehicles.
Energy	Zero duty on solar products	Solar products such as solar panels, solar water heaters, solar dryers and static converters are exempted from customs duty in terms of Statutory Instrument 203 of 2022.
	Low duty on Electric Motor Vehicles	Customs Duty on Electric Motor Vehicles was reduced from 40% to 25% in order to promote use of eco-friendly vehicles which will result in reduced carbon emissions. The facility is provided in terms of Statutory Instrument 196 of 2024.
	Rebate of duty on solar powered charging stations	Capital equipment imported by Approved Operators for setting up Electrical Vehicle Solar Powered Charging Stations does not attract customs duty and VAT.

Source: Zimbabwe Treasury

7.0 CAPITAL FINANCE INCENTIVES

Victoria Falls Stock Exchange (VFSE)



7.1.1 Companies listed on the Victoria Falls Stock Exchange are entitled to the following incentives as provided for in the Income Tax Act [*Chapter. 23:06*]:

- Any dividend distributed from a security which, on the date of distribution, is listed on the Victoria Falls Stock Exchange is taxed at the rate of 5%, instead of the standard rate of 15%; and
- Any income received from the sale or disposal of any shares or other marketable securities listed on the Victoria Falls Stock Exchange are exempt from Capital Gains Tax.

Real Estate Investment Trusts (REITS)



7.1.2 In recognition of the capabilities of REITS to mobilise resources for new infrastructure projects, Government has exempted from income tax, the income/receipts accruing to REITS, subject to the following conditions:

- the REIT must have a minimum of 100 shareholders after the first year of qualification to benefit from income tax exemption;
- the REIT must not have more than 50% of its shares held by 5 or fewer individuals during a taxable year;
- in the case of investors in the REIT other than a pension fund, income must accrue from real estate investment projects commenced on or after 1st January, 2021; and

- the REIT must receive a minimum of 80% of its taxable income from real estate; and
- the REIT must distribute a minimum of 80% of its after-tax income as dividends in each financial year; and,
- the REIT must be listed on an exchange registered in terms of the Securities and Exchange Act.

Income Tax Exemption on Venture Capital Financing



7.1.3 The Government has, with effect from 1st January, 2020, provided Income Tax Exemption

on Venture Capital Investments in support of start-up businesses in selected sectors. As such, any qualifying venture capital company or fund, that is, a company or fund which has as its principal object being the provision of venture capital for development purposes, is exempt from corporate income tax.

7.1.4 The tax exemption is subject to the following conditions:

- The Venture Capital Fund or company, as well as the Recipient Company, should be a resident and tax compliant;
- The Recipient Company should not be listed on the Stock Exchange;
- Recipient Companies should be in critical sectors of the economy, in particular; agriculture, mining, manufacturing and tourism;
- The Venture Capital Fund or company should not control (directly or indirectly through a related entity) a Recipient Company in which it holds shares;
- Recipient Companies should primarily be financed through equity as opposed to debt.

7.1.5 Notwithstanding the above, the tax exemption will not apply to the following investors:

- Trade carried on in respect of the immovable property;
- Trade is carried on by financial institutions;
- Trade carried on in respect of financial or advisory services, including legal services, tax advisory services, stockbroking services, management consulting services, auditing, or accounting services.
- Trade carried on in respect of gambling.

8.0 SPECIAL ECONOMIC ZONE INCENTIVES



8.1.1 The following incentives have been availed to Licenced Operators under the Special Economic Zones:

- Exemption from Corporate Income Tax for the first five years of operation. Thereafter, a corporate tax rate of 15% applies;

- Special Initial allowance on capital equipment to be allowed at the rate of 50% of cost from year one and 25% in the subsequent two years;
- Specialised expatriate staff taxed at a flat rate of 15%;
- Exemption from non-residents tax on Fees on services that are not locally available;
- Exemption from non-residents tax on Royalties;
- Exemption from non-residents tax on Dividends;
- Duty free importation of Capital equipment for Special Economic Zones; excluding mining houses; and
- Duty free importation of raw materials and intermediate products imported for use by companies set up in the Special Economic Zones and meeting export threshold.

9.0 RELIEF FROM DOUBLE TAXATION OF SIMILAR INCOME



- 9.1.1 In order to attract cross-border movement of capital and natural persons, the Government has entered into a number of Avoidance of Double Taxation Agreements (ADTAs) with a number of Contracting Parties. These Agreements are specifically known as, “Agreements for the Avoidance of Double Taxation and Prevention of Fiscal Evasion with respect to Taxes on Income”.
- 9.1.2 The main purpose of ADTAs is to eliminate opportunities for double taxation of similar income earned by resident investors of the Contracting States in both the source country and the residence country. ADTAs also seek to reduce double non-taxation of income by the Contracting States, thereby protecting the tax base.

9.1.3 The following are the benefits of ADTAs to both corporates and natural persons:

- Negotiated and agreed reduction of tax rates on dividends earned by residents of the Contracting States;
- Negotiated and agreed reduced tax rates on Royalties earned by residents of Contracting States;
- Preferential tax on income earned as technical fees;
- Tax exemption of professionals, lecturers, teachers, students and diplomats;
- Enhanced exchange of taxpayer information between the Contracting States;
- Mutual cooperation on tax matters between the Contracting States; and
- Increasing opportunities for investment in the Contracting States through certainty on the tax status of cross-border income, among others.

10.0 TAX CONCESSIONS FOR DEVELOPMENT PARTNERS



10.1.0 In recognition of the development initiatives by Recognised Development Partners, particularly in agriculture, infrastructure and humanitarian assistance, the Government provides the following tax concessions:

- Income Tax Exemption on the receipts and accruals of any Recognised Foreign Organisation that provides Finance for Development in Zimbabwe, to the extent that its receipts and accruals are from a Project Approved by the Minister responsible for Finance;
- Refund of Value Added Tax on Development Partners and their Agents in respect of goods and services purchased under an Aid or Technical Cooperation Agreement in terms of Statutory Instrument 79 of 2018;

- Rebate of Duty on goods imported by persons (corporates and natural persons) who enter Zimbabwe in terms of aid or technical co-operation agreement or contract employment entered into with the Government of Zimbabwe, in terms of section 121 of the Customs and Excise (General) Regulations, 2001, as periodically amended.

Disclaimer: The tax provisions and rates are only correct at the time of publication of this Tax Incentives Passport.

Legislation is constantly revised, hence, the need to constantly consult Zimbabwe Treasury on the current status of taxes.